

WEST BENGAL

# When Populism Begins to Pinch

By Romita Datta

On February 8, two days before the first phase of polling in Uttar Pradesh, West Bengal chief minister Mamata Banerjee advised Samajwadi Party (SP) chief Akhilesh Yadav to add a monthly income incentive for women in his manifesto, on the lines of the Lakshmir Bhandar scheme in her own state. Akhilesh saw merit in the move, likely aware of how the dole spree in Bengal has earned Mamata and her Trinamool Congress (TMC) a committed following among women.

Women account for nearly half of Bengal's 100 million people, and of those who turned up to vote in the assembly election last year, 50 per cent chose the TMC—13 percentage points higher than the BJP. Mamata had won their hearts with carefully crafted schemes, such as Lakshmir Bhandar, Swasthya Sathi health insurance cards (issued in the name of the family matriarch) and grants for higher education and marriage of adult girls. The TMC manifesto also promised loans up to Rs 10 lakh for students at 4 per cent interest with a 15-year moratorium.

Lakshmir Bhandar, launched in 2021, offers eligible beneficiaries a monthly assistance of Rs 500 (general category) to Rs 1,000 (Scheduled Castes/ Tribes). The scheme's popularity has been evident from the serpentine queues of women who, despite the pandemic, gathered at the designated centres to sign up. Some 16 million women have registered for the scheme. The dole will cost the state exchequer Rs 16,000 crore every year. But that hasn't discouraged Mamata, who is quick to point out that women had to break into their domestic savings to tide over the financial crisis in the aftermath of demonetisation in 2016.

When Mamata came to power for a third consecutive term in May last year, one of her priorities was channelling funds to Lakshmir Bhandar. She also wanted Swasthya Sathi to cover the entire population in the state. It raised eyebrows given Bengal's precarious financial health. The revenue deficit for 2021-22 is estimated at about Rs 26,755 crore—about 1.8 per cent of the GSDP (gross state domestic product).

**HIT BY A CASH CRUNCH, THE MAMATA GOVERNMENT HAS BEEN RELYING HEAVILY ON MARKET BORROWINGS**

The crisis had begun to hurt Mamata's social outreach, with camps of ambitious programmes like Duare Sarkar (government welfare at people's doorstep) being deferred till August 2021. Lakshmir Bhandar payments started trickling into bank accounts as late as November even as many complained of not getting any money.

The cash-strapped Mamata government has had to rely heavily on market borrowings—totalling to Rs 52,000 crore between April and December 2021. It was Rs 17,000 crore more than borrowings during the corresponding period the previous year. West Bengal already spends Rs 20,000 crore a year on social welfare schemes, but Mamata is eager to widen their ambit. She wants Lakshmir Bhandar to be extended to 4 million more women and additional beneficiaries under the old-age and widow pension schemes. "Some of the Mamata government's programmes have done well and she is